

3.2. HEDGE FUND FAILURES

HFs are the fly-by-night funds of the investment world.

Each year, 10% to 15% of HFs vanish from the databases, so most HFs don't last very long.²⁶ Together with Nicolas Bollen, a professor of finance at Vanderbilt University, I estimate a model of HF survivorship. Figure 17.2 reports fitted durations of HFs from Ang and Bollen (2010a, 2010b) in Panel A and the probabilities of HF failure in Panel B. Figure 17.2 shows that a great many HFs fail around years 2 through 5, but some HFs last twenty years or more—so the survivorship distribution is very skewed. This is consistent with Brown, Goetzmann, and Park

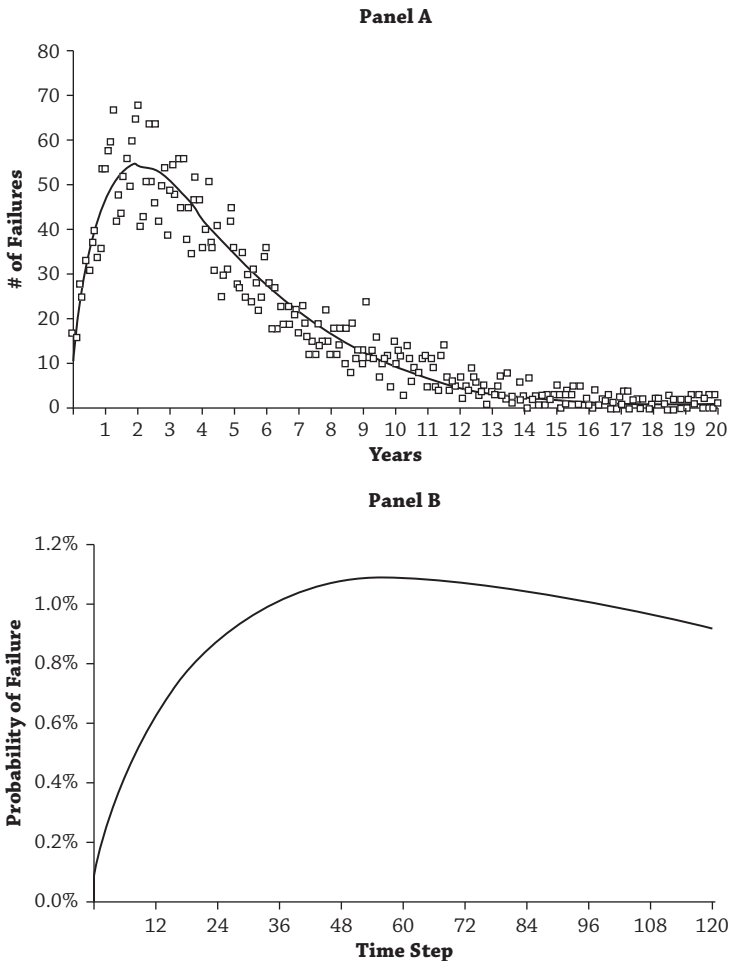


Figure 17.2

²⁶ See Liang (2001) and Kouwenberg (2003). HFs can delist as a result of poor performance, usually resulting in termination, or spectacular performance when they close to new investments. Jorion and Schwarz (2013) report that the latter represents only 1% of cases.